

Syllabus for Econ 102, Principles of Macroeconomics

(This version: January 24, 2011)

Yao Tang, Spring 2011

Department of Economics

Bowdoin College

Lecture time: M 1:00 - 2:25, W 1:00 - 2:25

Place: Searles-223

Contact information

office: Hubbard 106

office hours: M 2:30-4:00 pm, W 10:00-11:30 am, or by appointment.

phone: 207-798-4260

email: ytang@bowdoin.edu

Please note, I may not check emails frequently during evenings and weekends.

Course Description and Objectives

Macroeconomics concerns itself with the aggregate behavior of the economy. For most students, Econ 102 is the first course (and maybe also the last!) they take in macroeconomics. Materials covered in this course will prepare students for further study of economics. For those who do not continue to pursue economics, this course will also offer valuable knowledge useful in one's life.

The course will begin by looking into the measurement of key macroeconomic variables: national output, inflation and unemployment. We will then examine the determination of output in the long run and short run, and whether economic policies can mitigate short run fluctuations. Time permitting, we will also discuss the open economy topics of exchange rate.

Textbook and Reading Materials

Required textbook: Frank and Bernanke, *Principles of Macroeconomics*, 2nd edition (brief), McGraw-Hill Irwin. Besides learning from the text, it is important to apply the principles to understand macroeconomic news. I will provide on Blackboard a list of readings extracted from news media and other sources as the semester progresses. In some cases, they will be integrated into your assignments.

Quantitative Reasoning program

Youle Kang will be the QR program study group leader for this course. He will hold regular sessions for students who seek extra work on quantitative skills that are useful in this course.

Web information

All information, including information about reading materials, will be posted on the Blackboard web page for Econ 102, accessible at <http://blackboard.bowdoin.edu/>.

Evaluation: your course grade is based on

assignments, 10%

first midterm exam, 25%

second midterm exam, 25%

final exam (cumulative), 35%

class participation, 5%

wildcard student presentation (optional), 4%

There will be periodic assignments throughout the semester. Some of the assignments are individual assignments, meaning that each student must hand in a copy of the answers. Other assignments are group assignments, where a group of students (up to a maximum of four people) submit a single copy. The idea behind having two types of assignments is to encourage peer learning while keeping track of individual progress in the course. Before the solutions are posted, late submissions are acceptable at a penalty of 10%. Makeup exams can only be arranged in advance for family or medical emergencies. According to the college registrar, the final exam period is between May 16th and 21st.

To encourage students to connect learning in this course to real-world issues and to engage in active learning, a student (or a group of students) has the option of doing a 5-minute in-class presentation. The presentation should demonstrate, or apply an economic idea we learn in this course in a real-world or nonacademic setup, or supply extra background information about a macroeconomic issue. Examples of presentations include but are not limited to: analyzing a recent newspaper or magazine article, summarizing statistics on the debt of the US government, showing and commenting on a short video, singing a song, sharing a photo journal, and performing a short skit. We will have at most two presentations each lecture and each student can perform at most one presentation. Students who wish to present **MUST** email the instructor the day before the lecture such that proper arrangement can be made. Students are also welcomed to contact the instructor for help with their presentations. The presentations will be graded based on the relevance to the course content and effectiveness.

Academic Honesty

Students should be familiar with the Bowdoin College Academic Honor Code, available at <http://www.bowdoin.edu/studentaffairs/student-handbook/college-policies/index.shtml>

In particular, for the individual assignments, students are encouraged to work together but they must each hand in their own copy of answers.

Tentative Schedule of Topics

Please note I reserve the right to change the order of topics, or to drop topics from the list. However, I will not add new topics.

1. January 24, Course introduction
2. Key macroeconomic variables
 - January 26, GDP, Chapter 4
The Wall Street Journal, Nations Seek Success Beyond GDP
The Economist, The joyless or the jobless
 - January 31, Inflation, Chapter 5
BBC News, China sees inflation jump to 5.1%, a 28-month high
 - February 2, Unemployment, Chapter 6
The Economist, Long-term unemployment: In the bleak midwinter
BBC News, US unemployment rate drops in December
3. Economic growth in the long run
 - February 7, The importance of economic growth and introduction to the Solow model, Chapter 7
 - February 9, Physical capital and human capital accumulation and economic growth
 - February 14, Sources of sustained growth: technology, Chapter 7
The Economist, The secret sauce
4. Saving, capital formation, financial markets and money
 - February 16, Private saving, Chapter 8
The Wall Street Journal, Why Consumers Are Likely to Keep on Saving
 - February 21, National saving, the determination of real interest rate, Chapter 8
 - February 23, Financial market, Chapter 9

- **February 28, in-class midterm 1**
 - March 2, Money, Chapter 9
The Wall Street Journal, China Hits Brakes on Economic Stimulus
 - March 7, The financial market and the Federal Reserve Bank, Chapter 12
NY Times, Fed Missed This Bubble. Will It See a New One?
LA Times, Estimate of TARP losses falls to \$25 billion
5. The economy in the short run: the basic Keynesian model
- March 9, Short run fluctuations, Chapter 10
 - March 28, Spending and output in the short run: the basic Keynesian model, Chapter 11
 - March 30, Output stabilization and fiscal policy in the basic Keynesian model, Chapter 11
 - April 4, A critical review of the basic Keynesian model, Chapter 11
 - April 6, The debate about the fiscal policy
The Economist, Much ado about multipliers
The Economist, The budget and the deficit: An opportunity wasted
The Wall Street Journal, U.K. Embraces Austerity
The Wall Street Journal, Voters Back Tough Steps to Reduce Budget Deficit
6. The economy in the short run: central bank in a Keynesian model
- April 11, Introducing the central bank: the modified Keynesian model, Chapter 12
 - April 13, Monetary policy rule, Chapter 12
NY Times, China Lifts Rates Again to Cool Inflation
 - April 18, What happens when the nominal interest rate is zero: quantitative easing
The Economist, Economic focus: War Footing
LA Times, Bernanke totes up pros and cons of more stimulus
The Economist, The Fed's big announcement: Down the slipway
 - April 20, Discussion on monetary policy: central bank independence, bubbles, and the gold standard
NY Times, Bernanke's Bid for a Second Term at the Fed Hits Resistance
The Economist, Policy punchbags

Anil K. Kashyap and Frederic S. Mishkin, The Fed Is Already Transparent
The Wall Street Journal, Fed Chief Edges Closer to Using Rates to Pop Bubbles
Martin Wolf, Could the world go back to the gold standard?

- **April 25, in-class midterm 2**

7. The economy in the short run: the Aggregate Supply and Aggregate Demand (AS-AD) model

- April 27, The AS-AD model, Chapter 13
- May 2, The role of market in the AS-AD model, Chapter 13
- May 4, Economic policy in the AS-AD model, Chapter 13

8. Open economy topics

- May 9, Exchange rate and monetary policy in an open economy, Chapter 14
- May 11, Exchange rate determination: Purchasing Power Parity and Interest Rate Parity, Chapter 14